

SHOW ME THE MONEY!

HOW WILL FINANCE IN THE METAVERSE WORK? CAN IT?

Agent001 | agent001@digit.in

The metaverse will use cryptocurrencies supported by blockchain.

I wanted to just put that one sentence in normal font size across the middle of two pages, and the little red d (endmark) we use to signify the end of an article. I thought I was being very creative, and expected a lot of positive feedback from you dear reader for my brainwave. My editor thought I was being lazy, not creative, so here we go, using 1.6K words to elaborate on that same sentence.

CRYPTO

Of course it will be crypto currencies that rule the many metaverses that will pop-up, but there's going to be chaos. And why wouldn't there be? It's a made-up economic system, used to transact in a made-up world, to buy things that are made-up. Add to that the complexity of every service making up their own money, and no real way to decide on the value of that money against real money, except for demand, despite the made up money being totally worthless outside of the service it was invented for. A word salad that!

Let's look at an example.

Two major metaverse projects are Decentraland and Sandbox, and both have their own crypto currencies. Just as in life, in order to do anything of meaning and excitement in these early metaverse offerings, you need money. In Decentraland you need

MANA, their digital currency that's powered by the Ethereum blockchain. In Sandbox you need SAND to trade, and their cryptocurrency is run on blockchain. As of writing this, the value for SAND is about \$4.88 and MANA is \$3.12. That's them being equated to real-world, US dollar values.

In simplistic terms, we know how the US dollar evaluation is arrived at, or for that matter all currencies of the world. All currencies have relative values, and are pretty useless in isolation. This is because the world depends on import and export, and trading and sending money to and from other countries. Thus, currencies have to be evaluated against one another, and that's done in a super complex manner that one needs a degree or two in economics to truly understand.

However, in its simplest form, an exchange rate is a simple supply vs demand equation. More people buying Indian Rupees, and the value of it increases, fewer people buying drops the value, and more people selling Indian Rupees to buy other currency causes the value to fall even faster. The more INR held in reserves by countries across the globe means that there is less INR in circulation, which makes the value of INR higher.

REAL-WORLD LINKS

Of course, what people are buying and selling are not actual, physical Indian Rupee notes, it's import and export, investing in an Indian

company, or conversely divesting an older investment. Foreigners (people, governments or companies) investing in India, buying exports from India or even just tourists visiting and changing currency to INR to spend in India, all of that are activities that raise the value of the Rupee. There are other factors, such as the GDP of a country, the purchasing price parity, the stability of a government, what policies it enacts, whether it's at war or not, etc, which all have to be factored in as well. It's just a lot easier to look at it through the supply / demand lens.

Now, while all of these physical currencies are related to one another, they're benchmarked against a standard currency, such as the US dollar, which allows the whole world to trade with one another. And this trading is kept fair based on promises by the governments of each country. This is why notes have the 'promise to pay' message of the head of the financial institution or the president or leader of the country.

Cryptocurrency on the other hand is effectively valued based on scarcity and popularity. Bitcoin, for example, has a fixed maximum circulation which means that its value can fluctuate on a daily or weekly basis, but as long as it stays popular and in demand by an increasing amount of people, the value should only rise. We say "should" because there are plenty of other factors at play as well. For example, governments could make it illegal to accept bitcoin as a currency and ban it. This would hurt its value.

MADE UP?

So are crypto currencies just made up and essentially useless? Yes and no. As long as they're popular, they're valuable, and you can trade in them, but at a risk. The risk comes from factors outside the cryptoworld usually, such as the government intervention we pointed to earlier. Then there is also the risk of a project that a cryptocurrency was attached to dying out. A competitor could make a product or service that's much better, causing the popularity of a game or service to reduce drastically, and that too